

KOSIQ

Cost Analysis & Investment Model

Confidential — April 2026

What One Provider Costs Us

Infrastructure + AI + support costs per provider served

Cost Component	Per Provider/Mo	Notes
Cloud hosting (AWS HIPAA)	\$8.00	Compute, DB, storage, CDN
AI processing (Claude/Bedrock)	\$12.00 ~15 AI calls/provider/month	
Data pipeline / ETL	\$3.00	Claims, labs, ADT feeds
HIPAA security infrastructure	\$2.00	Encryption, audit logs, WAF
Third-party services	\$4.00	Auth0, email, monitoring
Customer support (pro-rated)	\$6.00	Tickets, onboarding, docs
Total Cost Per Provider	\$35/month	

Margin Analysis at Our Pricing

Tier	Price	Our Cost	Gross Profit	Margin
Essentials	\$400/mo	\$35/mo	\$365/mo	91%
Professional	\$500/mo	\$35/mo	\$465/mo	93%
Enterprise	\$600/mo	\$35/mo	\$565/mo	94%

Per-provider costs are low because it is software. The expensive part is the team that builds and sells it, not serving each additional user.

Full Team — Engineering

Role	Annual Salary	Start	Monthly
David Suarez — CPO	\$180,000	Day 1	\$15,000
VP of Engineering	\$200,000	Day 1	\$16,667
Senior Backend Engineer	\$170,000	Day 1	\$14,167
Full-Stack Engineer	\$150,000	Day 1	\$12,500
AI/ML Engineer	\$160,000	Month 3	\$13,333
DevOps / Security Engineer	\$140,000	Month 6	\$11,667
Engineering Total (loaded +20%)	\$1,200,000/yr		\$100,000

Sales Team

Role	Annual	Start	Monthly
VP Sales — Healthcare	\$180,000 + comm	Day 1	\$15,000+
Account Executive	\$110,000	Month 6	\$9,167
SDR / Lead Gen	\$55,000	Month 3	\$4,583
Sales Total (loaded)			\$34,500

Clinical & Admin

Role	Annual	Start	Monthly
Dr. JD Suarez — CMO	Equity only	Day 1	\$0
HIPAA Compliance Officer	\$48,000	Day 1	\$4,000
Customer Success Manager	\$70,000	Month 6	\$5,833
Subtotal			\$9,833

Infrastructure Costs

Item	Monthly	Notes
AWS (HIPAA/BAA environment)	\$5,000	Scales — this covers ~200 providers
AI APIs (Bedrock/Claude)	\$4,000	Scales with usage, BAA covered
Third-party SaaS	\$1,500	Auth0, Sentry, Klaviyo, Stripe
Monitoring & security tools	\$800	Datadog, CloudWatch, pen testing
Infrastructure Total	\$11,300/mo	

Compliance & Legal

Item	Cost	Type
SOC2 Type II audit	\$50,000	One-time + \$15K annual renewal
HITRUST certification	\$65,000	One-time (for enterprise clients)
Legal counsel	\$4,000/mo	Ongoing — BAAs, MSAs, contracts
D&O / E&O Insurance	\$1,500/mo	Required for enterprise + investors
Year 1 Compliance Total	~\$185,000	

Marketing & Sales Operations

Item	Monthly
Conferences (HIMSS, AHIP)	\$3,000 (amortized)
Content / LinkedIn / SEO	\$2,000
Sales tools (CRM, outreach)	\$500
Travel to client sites	\$2,000
Marketing Total	\$7,500/mo

Total Monthly Burn

Months 1-6 (Smaller Team)

Category	Monthly
Engineering (4 people + CPO)	\$75,000
Sales (VP + SDR)	\$22,000
Clinical / Admin	\$4,000
Infrastructure	\$8,000
Legal / Compliance	\$6,000
Marketing	\$5,000
Office / Misc	\$2,000
Monthly Burn (M1-6)	\$122,000

Months 7-24 (Full Team)

Category	Monthly
Engineering (6 people + CPO)	\$100,000
Sales (VP + AE + SDR)	\$34,500
Clinical / Admin (+ CSM)	\$10,000
Infrastructure (scaling)	\$14,000
Legal / Compliance	\$5,500
Marketing	\$7,500
Office / Misc	\$2,500
Monthly Burn (M7-24)	\$174,000

Total Investment Needed

Period	Calculation	Total
Months 1-6	6 months x \$122K	\$732,000
Months 7-24	18 months x \$174K	\$3,132,000
One-time costs	SOC2 + HITRUST + training	\$170,000
Revenue offset (starts M6)	Estimated early revenue	-\$300,000
Net Investment Needed		\$3,734,000
Round Up for Buffer		\$4,000,000

Path to Breakeven

Assumes avg \$475/provider/month blended across tiers, avg 12-15 providers per client organization.

Month	Providers	Monthly Revenue	Monthly Burn	Net
Month 3	10	\$4,500	\$122,000	-\$117,500
Month 6	40	\$19,000	\$122,000	-\$103,000
Month 9	80	\$38,000	\$174,000	-\$136,000
Month 12	150	\$72,000	\$174,000	-\$102,000
Month 15	250	\$122,000	\$174,000	-\$52,000
Month 18	360	\$176,000	\$174,000	+\$2,000
Month 24	550	\$270,000	\$174,000	+\$96,000

Breakeven at approximately 360 providers (month 18). That is about 25-30 client organizations averaging 12-15 providers each.

Executive Summary

Metric	Value
Cost per provider (to us)	\$35/month
Gross margin at \$400 tier	91%
Gross margin at \$600 tier	94%
Monthly burn (full team)	\$174,000
Total investment needed	\$4,000,000
Team size at full build	10 people
Breakeven	Month 18 (~360 providers)
Revenue at breakeven	\$176K/month (\$2.1M ARR)
Year 3 projection (600 providers)	\$3.78M ARR
Year 5 projection (1,500 providers)	\$9.9M ARR

Your dad's pricing works. The margins are excellent. Free migration removes the last barrier to switching. At \$400/provider for 5+ analytics products, volume will not be the problem.

